CASCADIA ANALYTICS

Lumentum Holdings Inc.

Equity Research Note | LITE | 22 OCTOBER 2026

The optics supercycle is real and it is in the numbers

Lumentum Holdings Inc. screens as a Hold, Valuation Concerns with a $365.57 blended target, 51% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$752.54	$365.57	-51%	HOLD, VALUATION CONCERNS

Investment Thesis

The optics supercycle is real and it is in the numbers. AI data center build-outs have turned optical links into a primary means of connectivity, and Lumentum sits at the center of that shift with indium phosphide laser chips, cloud transceivers, optical circuit switches, and co-packaged optics. Revenue grew 83.2% in FY2026 to $3,014.0M and exited the year at a $1,006.3M quarter, up 109.3% year on year [10-K/PR]. Mix shift has reset the margin structure. GAAP gross margin expanded from 18.5% in FY2024 to 41.7% in

- The optics supercycle is real and it is in the numbers
- Mix shift has reset the margin structure
- The business is superb and the price already knows it

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The latest print

Mix shift has reset the margin structure. GAAP gross margin expanded from 18.5% in FY2024 to 41.7% in FY2026 and reached 47.4% in Q4 as datacom mix rose, while GAAP operating margin swung from a 31.9% loss in FY2024 to a 17.4% profit in FY2026, exiting the year at 27.8%. The detailed EBIT bridge carries that trajectory forward and produces mature free cash flow margins of 20.8% in the bear case, 24.7% in the base case, and 26.2% in the bull case.

The business is superb and the price already knows it. At $752.54 the market capitalizes Lumentum at roughly $71.6B, and the reverse DCF shows the price embedding a 52.5% five-year revenue CAGR at the base-case mature free cash flow margin of 24.7%, above even the bull case blended CAGR of 42.1%. Our computed base target of $356.61 sits 53% below the price, so the rating follows the rules for an overvalued but healthy business.

$3,014.0M	$1,006.3M	41.7%	27.8%	$8.67	$1,101.0M
REVENUE (FY2026)	REVENUE (Q4 FY2026)	GAAP GROSS MARGIN (FY2026)	GAAP OPERATING MARGIN (Q4 FY2026)	NON-GAAP EPS (FY2026)	NET CASH

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (FY2026)	$3,014.0M	+83.2%	Up
Revenue (Q4 FY2026)	$1,006.3M	+109.3%	Up
GAAP Gross Margin (FY2026)	41.7%	28.0% in FY2025	Up
GAAP Operating Margin (Q4 FY2026)	27.8%	-1.7% in Q4 FY2025	Up
Non-GAAP EPS (FY2026)	$8.67	$2.06 in FY2025	Up
Net Cash	$1,101.0M	Debt $1,637.4M vs cash $2,738.4M	Up
Q1 FY2027 Revenue Guide	$1,225M to $1,275M	Set with Q4 results	Up

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Lumentum Holdings Inc. valuation framework

The moat

Components revenue of $649.4M in Q4 FY2026, up 102.7% year on year, with Systems up 122.6% to $356.9M

The growth engine

Optical circuit switch backlog above $400M disclosed with Q2 FY2026 results, alongside an incremental multi-hundred-million-dollar co-packaged optics order deliverable in the first half of calendar 2027

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	$6.82B	24.0%	**$177.16**	-76%
Base	50%	15.0%	$11.08B	32.0%	**$356.61**	-53%
Bull	25%	25.0%	$17.47B	36.0%	**$571.92**	-24%

Bear: downside case at $177.16 (-76%).

Base: central case at $356.61 (-53%).

Bull: upside case at $571.92 (-24%).

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The probability-blended target implies 51% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -51% from the $752.54 reference price.

$365.57
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2027E)	**$6.34B**
Valuation horizon	**2027-2031**
Live WACC	**9.72%**
Terminal growth	**2.0% / 3.0% / 3.0%**
Net cash	**$1.10B**
2031 FCF (Base)	**$2.74B**
10-year Treasury yield	**5.0%**
Beta	**1.36**
Equity risk premium	**3.6%**

HOLD, VALUATION CONCERNS | $365.57 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 52.5%, above even the Bull case (42.1%) blended 5-yr CAGR, the market prices in more growth than the bull case.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$6.4B	$78.66	+10%	$15.3B	$172.70	+30%	$33.0B	$359.07
-9%	$6.7B	$81.85	+11%	$16.0B	$179.42	+31%	$34.3B	$371.77
-8%	$7.0B	$85.18	+12%	$16.6B	$186.38	+32%	$35.5B	$384.84
-7%	$7.3B	$88.64	+13%	$17.3B	$193.57	+33%	$36.8B	$398.30
-6%	$7.7B	$92.24	+14%	$18.0B	$201.01	+34%	$38.1B	$412.15
-5%	$8.0B	$95.98	+15%	$18.7B	$208.71	+35%	$39.5B	$426.41
-4%	$8.4B	$99.87	+16%	$19.5B	$216.66	+36%	$40.8B	$441.09
-3%	$8.8B	$103.92	+17%	$20.3B	$224.87	+37%	$42.3B	$456.18
-2%	$9.2B	$108.12	+18%	$21.1B	$233.36	+38%	$43.8B	$471.71
-1%	$9.6B	$112.49	+19%	$21.9B	$242.13	+39%	$45.3B	$487.69
+0%	$10.0B	$117.02	+20%	$22.8B	$251.19	+40%	$46.8B	$504.11
+1%	$10.5B	$121.73	+21%	$23.7B	$260.53	+41%	$48.4B	$520.99
+2%	$10.9B	$126.61	+22%	$24.6B	$270.18	+42%	$50.1B	$538.34
+3%	$11.4B	$131.68	+23%	$25.5B	$280.14	+43%	$51.8B	$556.18
+4%	$11.9B	$136.93	+24%	$26.5B	$290.41	+44%	$53.5B	$574.50
+5%	$12.4B	$142.38	+25%	$27.5B	$301.00	+45%	$55.3B	$593.32
+6%	$13.0B	$148.02	+26%	$28.6B	$311.92	+46%	$57.2B	$612.66
+7%	$13.5B	$153.87	+27%	$29.6B	$323.18	+47%	$59.1B	$632.51
+8%	$14.1B	$159.93	+28%	$30.7B	$334.79	**+48%**	**$61.0B**	**$652.90**
+9%	$14.7B	$166.20	+29%	$31.9B	$346.75			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$15.75B	—	2.0%	$1.10B	$16.85B	**$177.16**
Base	$32.81B	—	3.0%	$1.10B	$33.91B	**$356.61**
Bull	$53.29B	—	3.0%	$1.10B	$54.39B	**$571.92**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 80.5% of Base enterprise value (Bear 74.8%, Bull 82.9%). The terminal WACC is 9.72% in Base (Bear 9.72%, Bull 9.72%), on a terminal beta of N/A (Bear N/A, Bull N/A).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$177.16	$194.38	$205.56	$215.02	$223.14	$230.34
Base	$356.61	$391.27	$419.20	$445.59	$469.18	$488.90
Bull	$571.92	$627.51	$676.88	$725.31	$769.24	$805.45

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $365.57 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Components revenue of $649.4M in Q4 FY2026, up 102.7% year on year, with Systems up 122.6% to $356.9M

Optical circuit switch backlog above $400M disclosed with Q2 FY2026 results, alongside an incremental multi-hundred-million-dollar co-packaged optics order deliverable in the first half of calendar 2027

NVIDIA purchased approximately 2.9M shares of Series A convertible preferred stock for $2.0B in March 2026, converting one for one into common stock

1.6T adoption advancing in the cloud module business, with an initial order for ELS modules and a broadening set of near-package optics engagements

Revenue and margin trend

METRIC	FY2023	FY2024	FY2025	FY2026	Q4 FY2026
Revenue	$1,767.0M	$1,359.2M	$1,645.0M	$3,014.0M	$1,006.3M
Gross Margin (GAAP)	32.2%	18.5%	28.0%	41.7%	47.4%
Operating Margin (GAAP)	-6.5%	-31.9%	-10.9%	17.4%	27.8%
Operating Income	-$115.7M	-$434.0M	-$180.1M	$524.8M	$279.3M
Non-GAAP EPS	n/a	n/a	$2.06	$8.67	$3.23

Valuation cross-check

Price $752.54

DCF Bear $177.16, Base $356.61, Bull $571.92, Blended $365.57

Market cap about $71.6B on 95.1M diluted shares

The reverse DCF prices in a five-year revenue CAGR of 52.5% at the base-case mature free cash flow margin of 24.7% produced by the EBIT bridge. The scenario set carries blended five-year CAGRs of 17.8% in the bear case, 29.7% in the base case, and 42.1% in the bull case, so the market price sits above the entire modeled range.

The initiation framework benchmarks mature free cash flow margins at about 14% for Coherent and about 10% for Fabrinet. The Lumentum EBIT bridge produces mature free cash flow margins of 20.8% in the bear case, 24.7% in the base case, and 26.2% in the bull case, above both peers, because the bridge credits Lumentum with premium laser chip mix and the operating leverage already visible in its reported 27.8% Q4 GAAP operating margin. Current

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reported operating margins run near 11.8% at Coherent and 10.2% at Fabrinet, which frames how much of the Lumentum margin story is company-specific mix rather than industry tide.

Lumentum has traded from a 52-week low of $152.54 to a high of $1,143.00. The current price sits in the upper reaches of that range after a re-rating driven by four consecutive quarters of accelerating revenue growth, which means the entry point carries the full expectations load of the supercycle.

What to monitor

Nov 2026. Q1 FY2027 Earnings (Two-Sided): The guide calls for revenue of $1,225M to $1,275M and non-GAAP EPS of $4.05 to $4.35. Delivery at the top end confirms the run-rate, while any sequential softness meets a price that embeds years of flawless compounding.

2026-2027. CPO and OCS Revenue Layering (Positive): Co-packaged optics orders begin delivering in the first half of calendar 2027 and the optical circuit switch backlog scales, adding second and third growth engines on top of cloud transceivers.

2027. Conversion and Share Count Path (Two-Sided): Early conversion requests for $757.8M of note principal arrived after fiscal year end, with principal settled in cash. The pace of equitization sets the true diluted share count the market should capitalize.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$1.7B	$789M	$303M	—
2023	$1.8B	$569M	$-88M	$189M
2024	$1.4B	$252M	$-361M	$-82M
2025	$1.6B	$460M	$-192M	$107M
2026	$3.0B	$1.3B	$536M	$-6.9B

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Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$4.2B	$2.3B	$1.9B	$1.3B
2023	$4.6B	$3.3B	$1.4B	$859M
2024	$3.9B	$3.0B	$957M	$437M
2025	$4.2B	$3.1B	$1.1B	$521M
2026	$7.3B	$2.7B	$4.6B	$2.0B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$459M	$91M	$283M	$550M
2023	$180M	$-128M	$263M	$51M
2024	$25M	$-137M	$-333M	$-112M
2025	$126M	$-231M	$42M	$-105M
2026	$751M	$-451M	$1.6B	$300M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $365.57 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.31% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $101.38M of sales, a net flow of -$101.38M. One-year total shareholder return is +404.9% against CEO total pay of $3.10M (Mr. Michael E. Hurlston), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.31% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $101.38M (28), net -$101.38M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +404.9%; Mr. Michael E. Hurlston, President, CEO & Director, total pay $3.10M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-29	Wupen Yuen	Officer	SELL	807	$764.4K
2026-09-23	Wupen Yuen	Officer	SELL	1,500	$1.42M
2026-09-15	Wupen Yuen	Officer	SELL	1,500	$1.32M
2026-09-10	Wupen Yuen	Officer	SELL	1,500	$1.41M
2026-09-04	Wupen Yuen	Officer	SELL	1,500	$1.30M
2026-09-01	Wupen Yuen	Officer	SELL	1,500	$1.37M
2026-08-27	Hurlston Michael E.	Chief Executive Officer	SELL	548	$525.3K
2026-08-27	Wupen Yuen	Officer	SELL	500	$479.3K

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker, so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Valuation and Embedded Expectations

The reverse DCF at $752.54 implies the market expects revenue to compound at 52.5% for five years at a 24.7% free cash flow margin, a path above our bull case on the same blended basis. Even our bull target of $571.92 sits below the current price, so the margin of safety is negative across the full scenario range.

Hyperscaler Digestion Cycle

This industry digests violently. Lumentum revenue fell 23.1% in FY2024 to $1,359.2M as telecom and cloud customers worked down inventory, and GAAP operating margin reached a 31.9% loss. A single digestion pause at one large cloud customer would hit a cost base now carrying $2.4B of purchase commitments.

Customer Concentration

Growth rests on a small set of AI infrastructure buyers whose capex plans can shift by quarter. The initiation framework flags datacom bookings and design wins as the KPIs to watch precisely because order concentration makes revenue lumpier than the current trajectory suggests.

Capacity and Capex Intensity

Lumentum owns its indium phosphide fabs, and FY2026 capex ran at 15.0% of revenue with $451.3M spent. The bridge assumes capex glides down from 16% toward 10% of revenue in the base case. If the capacity race forces sustained mid-teens capex, free cash flow conversion lands below the modeled path.

Convert Overhang and Competition

All convertible series are classified current after the conversion trigger was met, and share count has already moved from 71.4M in January 2026 to 89.7M by August 2026 before the preferred and equity awards. Coherent competes at greater scale, and hyperscaler in-house silicon photonics work remains a slow-moving threat to merchant optics content.

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The strengths

Operating Quality

Record GAAP gross margin of 41.7% in FY2026 exiting at 47.4%, a net cash balance sheet, and a vertically integrated indium phosphide platform, held back by demonstrated cyclicality and heavy capacity commitments.

Recent Trend

Revenue growth accelerated through FY2026 from 58.4% to 109.3% year on year by Q4, with gross margin up 1,370 basis points for the year and guidance raised to a $1.25B quarterly run-rate.

Forward Growth

Street consensus carries FY2027 revenue to about $6.34B and FY2028 toward $9.95B, with OCS backlog above $400M and CPO orders layering in from calendar 2027, against the reality that hyper-growth decays as the base scales.

Valuation

The computed base target of $356.61 offers 53% downside from $752.54 and the blended target of $365.57 offers 51% downside, while the reverse DCF shows the price embedding growth above the bull case.

Cascadia scorecard

Composite score 61: Fair. Confidence High, as of 20-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Record GAAP gross margin of 41.7% in FY2026 exiting at 47.4%, a net cash balance sheet, and a vertically integrated indium phosphide platform, held back by demonstrated cyclicality and heavy capacity commitments.	74
Recent Trend	Revenue growth accelerated through FY2026 from 58.4% to 109.3% year on year by Q4, with gross margin up 1,370 basis points for the year and guidance raised to a $1.25B quarterly run-rate.	88
Forward Growth	Street consensus carries FY2027 revenue to about $6.34B and FY2028 toward $9.95B, with OCS backlog above $400M and CPO orders layering in from calendar 2027, against the reality that hyper-growth decays as the base scales.	80
Valuation	The computed base target of $356.61 offers 53% downside from $752.54 and the blended target of $365.57 offers 51% downside, while the reverse DCF shows the price embedding growth above the bull case.	22
Catalysts & Risk	The November 5 print and CPO delivery start are live catalysts in both directions, balanced against digestion risk, conversion-driven share growth, and an expectations bar with no slack.	45

Investment view

Sustained delivery above a 40% revenue growth path with GAAP gross margin holding in the high 40s and CPO revenue arriving at scale would pull the equity toward the bull case and force the base case up. A single quarter of hyperscaler digestion, or gross margin slipping back below 40%, would expose how much of the price depends on an unbroken trajectory and move the equity toward the bear case quickly.

Investment view: Hold, Valuation Concerns. The $365.57 blended target implies -51%, balancing the $177.16 / $356.61 / $571.92 Bear / Base / Bull outcomes.

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